# Rubicon Research Ltd

Concall Tracker: earning trigger and management consistency check · Quarter folder Q1-2027 · Report date 6 Nov 2026 · Screener ticker RUBICON · Builds on the Q4-2026 report

## 1. Snapshot

**What it does, in plain words:** Rubicon is a Thane-based drug developer that turns known medicines into finished products (tablets, liquids, nasal sprays, eye drops) and sells almost all of them in the United States. Most are generics, copies sold once a patent expires, but a growing share are "specialty" products that are hard to copy and face zero or one competitor, which is where the better margins sit. It holds US approvals for its products (an ANDA is a US licence to sell a generic copy), makes them in its Indian plants plus outside contract makers, and listed on the stock market in 2025. In April 2026 it also entered India by buying Arinna Lifesciences, a seller of brain and nerve medicines.

| Number | Value | What it means |
|---|---|---|
| Market value | ₹27,473 cr (share ₹1,659) | What the stock market says the whole company is worth today. |
| Price to earnings (P/E) | about 110x | You pay about ₹110 for every ₹1 of yearly profit. Very expensive: the price already assumes years of fast growth. |
| Q1 FY27 sales (consolidated) | ₹534 cr, up ~52% | Sales for April to June 2026, about half again what it sold a year earlier. Arinna added only about ₹12 cr of this. |
| US dollar sales | US$55 million, up 32% | The core US business in dollars. Strong, but a little lower than the March quarter because it dropped some low-margin products on purpose. |
| Operating margin (EBITDA) | 24.2% (Q4 FY26: 23.1%) | About ₹24 of operating profit on every ₹100 of sales, before interest, tax and wear-and-tear. Up again. |
| Q1 FY27 net profit | ₹85 cr, up ~96% | Profit nearly doubled. A one-off insurance payout for goods lost in transit helped, so the underlying jump is a bit smaller. |
| Return on capital (ROCE) | 36% (quarter, annualised) | About ₹36 earned a year on every ₹100 put to work, even though about a quarter of its capital sits in plants and deals not yet earning. |

Figures are consolidated as given on the call. Screener's main page shows the Indian parent company alone, which is smaller.

## 2. Concall coverage

| Quarter | Call date | How it was read |
|---|---|---|
| Q2 FY26 and Q3 FY26 (2 calls, from the first call after listing) | 13 Nov 2025, 3 Feb 2026 | Carried forward from the Q4-2026 report |
| Q4 FY26 (full-year FY26), the prior boundary | 29 May 2026 | Read in full for the Q4-2026 report |
| **Q1 FY27 (Apr to Jun 2026)** | **14 Aug 2026** | **Newly deep-read in full ★** |

Only the Q1 FY27 call was read in full this time; the backstory comes from the Q4-2026 report. Rubicon has held just four calls in total, so the track record is about nine months long. Calls after 30 Sep 2026 are left for the next report.

## ★ Latest concall highlights - Q1 FY27 (call held 14 Aug 2026)

- **Another strong quarter.** Sales up about 52% to ₹534 cr, operating profit up 63% to ₹129 cr, profit up about 96% to ₹85 cr (with a one-off insurance gain). Growth stayed broad: the top 10 products are 55% of sales, in line with the last four quarters, so no single product is carrying it.
- **Margin guidance raised.** FY27 operating margin guidance moved up from 22-23% to about 23%, even after new costs for staff stock options, building Arinna, and two plants not yet earning. Gross margin (sales minus direct product cost) rose to 67.7%, back in the 67-68% range management had promised, by dropping lower-margin business.
- **Pithampur plant cleared its FDA hurdle.** The US drug regulator made a surprise inspection in July and raised two procedural points; Rubicon answered them and then got an FDA approval on a filing linked to the site. Commercial ramp-up stays on track for Jan-Mar 2027, which should pull production back from outside contract makers.
- **Bought a US factory cheaply.** A plant in East Brunswick, New Jersey, for US$2.9 million out of bankruptcy. Its May 2026 FDA inspection closed with the mild "voluntary action" grade. It sits wall-to-wall with Rubicon's US warehouse and should start selling in 2027, aimed at US government buyers who want US-made medicine.
- **CFO change and tone.** The CFO moves to a new Chief Commercial Officer role and a new CFO is joining. Tone confident and specific; Q2 is "tracking strong" for higher dollar sales.

### Business mix and capacity

**Domestic vs exports:** about 97-98% of sales are exports, almost all to the US; India is now starting via Arinna (about ₹12 cr this quarter). *Plain read: one country and one regulator drive nearly the whole business.*
**Capacity:** its own plants still can't keep up, so it uses contract makers, which costs margin. Exact utilisation was not disclosed. Pithampur (about 30 acres, only 5-6 used) ramps from Jan-Mar 2027 and is expected to scale over the following 9-12 months; New Jersey starts in 2027. *Plain read: demand is ahead of its own capacity, and the fix arrives next calendar year.*

## Since our last report (builds on the Q4-2026 report, call of 29 May 2026)

Prior verdicts carried forward: **Durable earning trigger: YES** · **Management consistent: MAYBE** (only because the record was short).

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Trigger: pipeline of US launches and shift to specialty | Clear and already in the numbers | Sales up ~52%; specialty now 36% of gross profit (about a third before); two new approvals; 88% of approvals turn into launches | Confirmed |
| Consistency | Every guide held, but only three calls | Fourth call in a row where promises were kept, and margin guidance went up | Improving |
| Pithampur: FDA inspection, ramp from Jan-Mar 2027 | Timeline had slipped once; not producing | Inspection done, two procedural points answered, ramp date held. Final inspection report still awaited. | On-track |
| Gross margin back to 67-68% | Hurt by reliance on contract makers | 67.7%, reached by dropping low-margin business, before Pithampur even starts | Confirmed |
| Operating margin 22-23% | Held for three quarters | 24.2% in Q1; FY27 guide raised to ~23% | Improving |
| ₹500 cr of R&D over FY26 to Q1 FY28 | Planned | ₹251 cr spent in five quarters, running at about ₹60 cr a quarter | On-track |
| Arinna (India) entry | Unproven | Closed in April; ₹12 cr sales, no profit yet. Plan is growth first, profit later. | Too early |

**Verdict change this quarter:** the trigger verdict stays YES. Consistency is **upgraded to YES**: the only thing holding it back last time was the short record, and this call added another quarter of kept promises, a raised margin guide and a cleared FDA inspection that was handled the way management said it would be.

## 3. Earning trigger thesis

Rubicon puts about 10-11% of sales into research each year to build harder-to-copy US medicines, then launches them steadily. Management treats research spend as the lead signal for sales a few years later, and its measure of that payoff (extra sales over three years divided by earlier research spend) sits at about 5.5x on Q1 run-rate. The mix keeps moving toward specialty products with few rivals, which is why margins rise even while plain generics face price pressure. The next leg is capacity: Pithampur and New Jersey should bring more production in-house from 2027 and lift margins further.

| Trigger | What management said | Evidence so far | Horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Steady stream of US launches | Pipeline built on research spend; approvals on plan | Sales up ~52%; 2 approvals; 88% commercialisation rate | Now to FY29-30 | Strong: proven in results | unchanged, still delivering |
| Shift to specialty | Share of gross profit keeps climbing | 36% of gross profit, up from about a third | Multi-year | Strong: visible every quarter | ↑ improving |
| Own capacity (Pithampur, New Jersey) | Ramp from Jan-Mar 2027; own making is cheaper than outsourcing | FDA inspections at both handled; neither is producing yet | 2027 onward | Moderate: on track, not yet earning | ↑ improving, FDA risk mostly behind |
| India via Arinna | Grow first, then beat the Indian market, then profit | ₹12 cr sales, no profit | FY28+ | Unproven | unchanged |

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Nov 2025 onward | Operating margin steady at 22-23% | 22.9%, 22.7%, 23.1%, then 24.2% in Q1 FY27; guidance raised | Delivered |
| Nov 2025 onward | R&D at 10-11% of sales; no single-product dependence | 10.9% in Q1; top-10 share steady at 55% | Delivered |
| Feb 2026 | Fix gross margin hit from outsourcing with "tactical measures" | Gross margin up to 67.7% by shedding low-margin business | Delivered |
| Jul 2026 | Pithampur 483 points are procedural and will close quickly | Response filed, FDA approved a filing after inspection; ramp date unchanged | Delivered |
| May 2026 | ₹500 cr R&D over nine quarters | ₹251 cr in five quarters | On track |
| Ongoing | Pithampur commercial ramp from Jan-Mar 2027 | Not yet testable | Too early |

**Narrative drift:** none worth flagging. The same pillars (research-led pipeline, specialty mix, margin discipline, careful deals) ran through all four calls, and figures were updated plainly. Two small things to keep an eye on: the count of products waiting for FDA approval will now only be shared once a year, and the CFO is changing roles just as the company gets bigger and more complex. Operating cash flow was weak this quarter (about ₹28 cr), blamed on delayed GST refunds that management says come back in Q2.

## 5. Bottom line - two verdicts

### Durable earning trigger? → YES

vs last quarter: unchanged

Nothing weakened the case. The launch engine kept running (sales up about half again, growth spread across products), the specialty share kept rising, and the capacity fix moved closer once Pithampur got through its FDA inspection. The real risk isn't the business, it's the price: at about 110x earnings, any stumble in the US or at the FDA would hurt the stock even if the company is fine.

### Management consistent? → YES

vs last quarter: upgraded

Upgraded because the one reason for caution last time, a short record, got a bit less short, and the new call matched the earlier ones point for point. Margin, research spend, gross-margin repair and the Pithampur inspection all went the way management said, and the margin guide went up rather than down. It's still only four calls, so this is a "yes so far". Next quarter, check that operating cash flow recovers and that the Pithampur ramp date holds.

Prepared from the Q1 FY27 earnings-call transcript (14 Aug 2026), the Q4-2026 Concall Tracker report on this company, and Screener.in financial data. This is an analysis of management commentary and reported figures, not investment advice.